

It's not really that difficult to "unjailbreak" and get back to stock iOS. You just have to download the latest firmware for your iPhone, links of which you could find at <http://www.felixbruns.de/iPod/firmware/>. The update weighs in at around 700MB, after which can fire up iTunes and restore your phone. You do this by pressing the "Shift" key and clicking on the "Restore" button, after which a file dialog should pop up. Point iTunes to the .ipsw file you downloaded, and your iPhone should start restoring to stock iOS. Make sure you keep your iPhone plugged in to your PC throughout the process, and that you don't restore from backup, since it might contain a few remnants from the jailbreak.

The jailbreak community is an active one, with developers creating awesome new apps and tweaks on a daily basis. While this guide is in no way exhaustive, it should help you enter the world of jailbreaking and unlock the true potential of your iPhone. 

COMMON JAILBREAK JARGON:

Stock OS:

A clean non-jailbroken OS

Jailbreak:

The process of freeing up your iOS device from the restrictions imposed by Apple

Unlocking:

Making your carrier locked iPhone run on other networks via software tools

Cydia:

An App Store for jailbreak apps and tweaks

MobileSubstrate:

A framework that works behind the scene to make all system tweaks work.